



Reverse supply chain

Supply chain takes a product to a customer. Reverse supply chain is the series of activities it takes to retrieve an unwanted or used product from a customer and dispose of it, recycle, or resell it.

How it works

Companies have to focus on more than simply bringing a product to a customer. Now an efficient reverse supply chain is essential to satisfy consumers, especially for the growing number of online retailers. Manufacturers, too, in industries from carpets to computers, may need reverse supply to recycle

products to meet environmental regulations.

For example, companies have to manage products that are returned from consumers for a refund; products that do not sell and are returned to producers from retailers; or products near the end of their life, where disposal may be subject to environmental legislation.

Reverse logistics

The cost to companies of reverse supply is enormous. For example, in the US, statistics from the Reverse Logistics Association suggest that the annual volume of consumer returns is estimated to cost \$150–200 billion. This represents about 0.7 percent of gross national product (GNP) and 6 percent of the US's total annual retail sales of \$3.5 trillion.

CUSTOMER RETURNS

US retailers Sears and JCPenney were the first stores to allow consumers to return goods with no penalty. This pioneering move in the late 19th century encouraged people to shop with them and helped build a loyal following. British retailer Marks & Spencer at one time had the most lenient returns policy in the retail world—until 2005 they had no time limit on returns, as long as the customer could produce a receipt.



Retrieve



Companies may have processes in place to collect used or unwanted items, whether from the customer or a retailer.



Eventual recycling or reconditioning may be considered at the start of design and manufacturing decisions.

Manage disposal